UNIT 1 – "DISTRIBUTION OF PROFITS AMONG PARTNERS"

Introduction to Partnership

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- Partnerships in Pakistan are subject to rules set out in **The Partnership Act 1932**.
- This law defines a partnership business as the relationship between persons who have agreed to share the profits of a business carried on by all or any of them, acting for all.

Partners and Firm

- Persons who have entered into partnership with one another are called **individually partners**.
- Collectively, they are called a **firm**.
- The name under which their business is carried on is called the **firm name**.

Partnerships Account vs Sole Trader Accounts

Basis	Partnership Accounts	Sole Trader Accounts
Financial statements	Partnership accounts are the financial statements of a partnership business. The financial statements of partnerships are the same as those of a sole proprietor with the exception of capital.	Financial statements of a sole trader are prepared for a single owner and do not involve multiple capital accounts.
Capital accounts	A partnership has several business owners. The accounts must record the capital and profits attributable to each individual partner separately. Each partner usually contributes capital and shares in profit or loss.	A sole trader has only one owner. There is only one capital account and all profits or losses belong to the owner.
Profit sharing	Profit belongs to more than one partner and must be shared according to an agreed mechanism. Each partner's share of profit is added to his personal capital account.	Profit is simply added to the capital balance brought forward of the sole trader.

Profit or Loss Appropriation

1. Profit for the Period

- The profit or loss for the financial period is calculated according to the normal rules, as for a sole trader.
- This total profit or loss is then divided between the partners and credited to their capital accounts.
- Notional amounts sharing among partners (e.g. salaries to partners and interest on capital) **must not be included** in profit or loss of the period.

Example:
Total profit for the year = Rs. 120,000
This profit is calculated **before** charging partner’s salary or interest on capital.

2. Sharing the Profits

- Partners are free to decide how the profit or loss of the partnership is shared.
- The profit-sharing arrangements are stated in the partnership agreement.

<u>**Methods of sharing:**</u>

- Profit may be shared in an agreed profit-sharing ratio (PSR).
- Alternatively, a first share of profit may be allocated by notional methods (such as salary to partners or interest on capital, which are not business expenses but a way of distributing profit), and the residual profit shared in the agreed PSR.

Example 1: Profit sharing without notional methods

- Profit = Rs. 100,000
- Partners agree to share profit in the ratio 3: 2

A’s share = 100,000 × 3/5 = Rs. 60,000
B’s share = 100,000 × 2/5 = Rs. 40,000

Example 2: Profit sharing with notional methods

- Profit = Rs. 100,000
- Partner A salary = Rs. 20,000
- Remaining profit shared in the ratio 3 : 2

Remaining profit = 100,000 − 20,000 = Rs. 80,000

A’s share of remaining profit = 80,000 × 3/5 = Rs. 48,000
B’s share of remaining profit = 80,000 × 2/5 = Rs. 32,000

Total profit received:
A = 20,000 + 48,000 = Rs. 68,000
B = Rs. 32,000

3. **Profit Sharing Ratio (PSR)**

- Partners may agree to share profits or losses in **any ratio** or **any way** they wish.
- Profit sharing does **not necessarily follow capital contribution**.

Example:
Capitals:
Ahmad = Rs. 20,000
Bilal = Rs. 10,000

Partners agree PSR = 1: 1
Even though capitals are different, profit will be shared equally.

4. Notional Amounts

- Notional amounts (e.g. salary to partners) are **not business expenses** like salaries to employees.
- These amounts are simply another method of sharing profits.

Example:

- Profit before partner's salary = Rs. 150,000
- Partner's salary = Rs. 30,000

Profit remains Rs. 150,000
Salary is adjusted through **appropriation**, not charged as an expense.

Notional Amounts Sharing – First Share of Profit

1. **Salaries**

- One partner may have more responsibility than the others.
- Instead of changing the PSR, a **partnership salary** may be given.
- Salary is **deducted before sharing remaining profit**.

Example:
Profit = Rs. 100,000
A's salary = Rs. 20,000
Remaining profit = Rs. 80,000 (to be shared)

2. **Notional Commission**

- Commission or performance-related bonus may be given to partners.
- It is **not a business expense**, only a way of sharing profit.
- Deducted before sharing balance of profit.

Example:
Profit = Rs. 90,000
B's commission = Rs. 10,000
Remaining profit = Rs. 80,000

3. Interest on Capital

- Allowed when partners contribute **unequal capital**.
- Paid out of partnership profits.
- Rate depends on agreement.

Example:
A's capital = Rs. 100,000
Interest @10% = Rs. 10,000
This interest is adjusted in profit appropriation.

4. Interest on Drawings

- Charged to discourage excess withdrawals.
- Calculated from date of withdrawal to year end.
- Increases divisible profit.

Example:
Drawings = Rs. 20,000
Interest charged = Rs. 2,000
This Rs. 2,000 is added back to profits.

5. In Absence of Agreement

- If no partnership agreement exists, **Partnership Act 1932** applies.

Rules:

- Profits and losses shared **equally**.
- No interest on capital.
- No interest on drawings.
- No salaries to partners.
- Interest @ **6% p.a.** allowed on advances over capital.

Example:
A and B profit = Rs. 60,000
No agreement → each gets Rs. 30,000

Example # 01

The PQR Partnership has three partners, P, Q and R.

The partnership agreement provides for the residual profit (or loss) to be shared between them in the ratio **4:3:2**, after allowing a notional salary of **Rs. 30,000 to R**.

The profit for the year is **Rs. 345,000**.

Required: A statement appropriating the profit between partners.

Solution:

Profit and loss Appropriation

Particulars	P	Q	R	Total
Profit				345,000
Salaries			30,000	(30,000)
				315,000
Profit 4:3:2	140,000	105,000	70,000	(315,000)
	140,000	105,000	100,000	–

Example # 02

A, B and C are in partnership sharing profits and losses in the ratio of **2:2:1**.

B is allowed a salary of **Rs. 10,000 per annum** and C is allowed a salary of **Rs. 15,000 per annum**.

The net profit for year was **Rs. 100,000**.

Required: Show how profit should be shared between the partners.

Solution:

Profit and loss Appropriation

Particulars	A	B	C	Total
Profit				100,000
Salaries		10,000	15,000	(25,000)
				75,000
Profit 2:2:1	30,000	30,000	15,000	(75,000)
	30,000	40,000	30,000	–

Example # 03

Partnership DEF has three partners, D, E and F.

Partner D has contributed **Rs. 100,000 of capital**, Partner E **Rs. 120,000** and Partner F **Rs. 60,000**.

They have agreed to share profits in the following way:

- Partner D to receive a salary of **Rs. 4,000** and Partner E a salary of **Rs. 7,000**.
- All three partners receive interest at **5% on the capital contributed**.
- Residual profit or loss to be shared between D, E and F in the ratio **3:5:2**.

The profit of the partnership for the year is **Rs. 95,000**.

Required: Show how profit should be shared between the partners.

Solution:

Profit and loss Appropriation

Particulars	D	E	F	Total
Profit				95,000
Salaries	4,000	7,000		(11,000)
Interest 5%	5,000	6,000	3,000	(14,000)
				70,000
Profit 3:5:2	21,000	35,000	14,000	(70,000)
	30,000	41,000	24,000	–

Example # 04

G, H and I are in partnership.

The profit of the partnership for the year is **Rs. 1,146,000**.

Partner G has contributed **Rs. 500,000 of capital**, Partner H **Rs. 400,000** and Partner I **Rs. 300,000**.

The partners have agreed to share profits in the following way:

- Partner H should receive a salary of **Rs. 50,000** and Partner I a salary of **Rs. 100,000**.
- All three partners should receive interest at **8% on the capital contributed**.
- Residual profit (or losses) should be shared between G, H and I in the ratio **3:2:1**.

Required: Show how the partnership profits should be shared between the partners.

Solution:

Profit and loss Appropriation

Particulars	G	H	I	Total
Profit				1,146,000
Salaries		50,000	100,000	(150,000)
Interest 8%	40,000	32,000	24,000	(96,000)
				900,000
Profit 3:2:1	450,000	300,000	150,000	(900,000)
	490,000	382,000	274,000	–

<u>Example # 05</u>

There are three partners in the ABC Partnership, A, B and C.

The capital accounts of the partners at the beginning of the year and drawings of each partner were as follows:

Partner	Capital account Rs.	Drawings Rs.
A	100,000	20,000
B	200,000	25,000
C	160,000	40,000

The profit for the year was **Rs. 97,050**.

Profit sharing agreement:

- Partner A is given a salary of **Rs. 17,000** and Partner C has a salary of **Rs. 15,000**.
- The partners pay themselves interest on capital at **5% per year**. However, partners are also charged interest on drawings at **7% per annum**.
- The residual profit or loss is shared between A, B and C in the ratio **1:3:2**.

Required: Show how the partnership profits should be shared between the partners and also prepare the partners' capital accounts.

Solution:

Profit and loss Appropriation

Particulars	A	B	C	Total
Profit				97,050
Interest on drawings 7%	(1,400)	(1,750)	(2,800)	5,950
				103,000
Salaries	17,000		15,000	(32,000)
Interest on capital 5%	5,000	10,000	8,000	(23,000)
				48,000
Profit 1:3:2	8,000	24,000	16,000	(48,000)
	28,600	32,250	36,200	–

Partners' Capital Accounts

Particulars	A	B	C	Total
Beginning of the year	100,000	200,000	160,000	460,000
Add: share of profit	28,600	32,250	36,200	97,050
	128,600	232,250	196,200	557,050
Deduct: Drawings	(20,000)	(25,000)	(40,000)	(85,000)
Balance at end of year	108,600	207,250	156,200	472,050

Example # 06

X, Y and Z are in partnership.

Partner	Capital account Rs.	Drawings Rs.
X	1,000,000	780,000
Y	800,000	580,000
Z	600,000	350,000

The profit for the year was **Rs. 1,944,000**.

Profits are shared as follows:

- The partners pay themselves interest on capital at **6% per year**.
- The residual profit or loss is shared between X, Y and Z in the ratio **4:3:2**.

Required: Show how the profits should be shared between the partners, and show their capital accounts at the end of the year.

Solution:

Profit and loss Appropriation

Particulars	X	Y	Z	Total
Profit				1,944,000
Interest on capital 6%	60,000	48,000	36,000	(144,000)
				1,800,000
Profit 4:3:2	800,000	600,000	400,000	(1,800,000)
	860,000	648,000	436,000	–

Partners' Capital Accounts

Particulars	X	Y	Z	Total
Beginning of the year	1,000,000	800,000	600,000	2,400,000
Add: share of profit	860,000	648,000	436,000	1,944,000
	1,860,000	1,448,000	1,036,000	4,344,000
Deduct Drawings	(780,000)	(580,000)	(350,000)	(1,710,000)
Balance at end of year	1,080,000	868,000	686,000	2,634,000

Additional Issues

1. **Guaranteed Minimum Profit Share**

- A partnership agreement may guarantee a **minimum profit share** for one or more partners.
- In such cases:
    - Partnership profits are first shared according to the **normal profit-sharing agreement**, ignoring the guaranteed minimum.
    - If this sharing does not give a partner the **minimum guaranteed profit**, the **shortfall is made good by the other partners** out of their profit shares.
    - The shortfall is borne by the other partners in their **profit-sharing ratio**.

2. **Change in Profit-Sharing Ratio (PSR)**

- Partners may change the profit-sharing agreement **during a financial year**.
- When this happens, total profits for the year are **apportioned on a time basis** between:
    - the period covered by the **old profit-sharing arrangement**, and
    - the period covered by the **new profit-sharing arrangement**.
- Profits for each period are then shared according to the **agreement applicable to that period**.

Example # 07

The XYZ Partnership has three partners, X, Y and Z. The partnership agreement provides for Partner X to receive a notional salary of **Rs. 20,000** and residual profits or losses are shared between X, Y and Z in the ratio **2:4:6**.

In addition, the agreement guarantees a minimum profit share of **Rs. 32,000** to Partner Y.

The partnership profit for the current year is **Rs. 80,000**.

Required: Show how the partnership profits should be shared between the partners.

Solution:

Profit and loss Appropriation

Particulars	X	Y	Z	Total
Profit				80,000
Salaries	20,000			(20,000)
				60,000
Profit 2:4:6	10,000	20,000	30,000	(60,000)
	30,000	20,000	30,000	–
Adjustment for minimum guarantee (Transfer 2:6)	(3,000)	12,000	(9,000)	–
	27,000	**32,000**	**21,000**	–

Example # 08

The DEF Partnership has three partners, D, E and F. In the first half of year 1, to 30 June Year 1, Partner D and Partner F each received an annual salary of **Rs. 30,000**.

Residual profits or losses are shared between D, E and F in the ratio **3:5:2**. (There is no interest on capital.)

In the second half of the year, from 1 July to 31 December, Partner D's annual salary was increased to **Rs. 40,000**, and the partners altered the profit-sharing ratio to **1:3:1** for D:E:F. The salary of Partner F was unchanged at **Rs. 30,000 per year**.

The profit for the year was **Rs. 220,000** (arising evenly throughout the year).

Required: Show how the partnership profits should be shared between the partners.

Solution:

Profit and loss Appropriation

Particulars	D	E	F	Total
First half of year				
Profit (220,000 × 6/12)				110,000
Salaries (half year salary)	15,000		15,000	(30,000)
				80,000
Profit 3:5:2	24,000	40,000	16,000	(80,000)
	39,000	40,000	31,000	–
Second half of year				
Profit (220,000 × 6/12)				110,000
Salaries (half year salary)	20,000		15,000	(35,000)
				75,000
Profit 1:3:1	15,000	45,000	15,000	(75,000)
	35,000	45,000	30,000	–
Total Profit	**74,000**	**85,000**	**61,000**	–

UNIT 2– "MULTIPLE CHOICE QUESTIONS"

1. How is the profit-sharing ratio determined in the absence of an agreement between partners?
   a) Based on capital contributed
   b) Equally shared among all partners
   c) Based on seniority
   d) Based on hours worked
2. If net profit is Rs. 600,000 and a salary of Rs. 150,000 is allowed to a partner, how much profit remains for sharing?
   a) Rs. 600,000
   b) Rs. 450,000
   c) Rs. 300,000
   d) Rs. 150,000
3. Profit and Loss Appropriation Account is:
   a) Nominal account
   b) Capital account
   c) Personal account
   d) Real account
4. If Rs. 1,000,000 is available for distribution, Partner A gets salary Rs. 200,000 and 60% of residual profit. How much will A receive?
   a) Rs. 400,000
   b) Rs. 600,000
   c) Rs. 680,000
   d) Rs. 800,000
5. What is the effect of interest on drawings?
   a) Increases profit available for appropriation
   b) Decreases profit
   c) No effect
   d) Depends on capital balance
6. Interest on capital is 10%. Partner's capital is Rs. 500,000. Interest allowed will be:
   a) Rs. 10,000
   b) Rs. 25,000
   c) Rs. 50,000
   d) Rs. 5,000
7. Only one partner is allowed a salary and profits are otherwise shared equally. Who will get higher profit?
   a) Both equally
   b) Partner without salary
   c) Partner with salary
   d) Partner with higher capital

8. In absence of agreement, losses are shared:
   a) Equally
   b) According to capital
   c) By senior partner
   d) According to drawings

9. Partners' share of profit is transferred to:
   a) Drawings account
   b) Profit and loss account
   c) Expense account
   d) Capital accounts

10. Partner withdrew Rs. 100,000 on 1 January. Interest on drawings is 12% p.a. What is interest charged for 6 months?
    a) Rs. 12,000
    b) Rs. 10,000
    c) Rs. 8,000
    d) Rs. 6,000

Answer Keys

MCQ #	Answer
1.	b
2.	b
3.	a
4.	c
5.	a
6.	c
7.	c
8.	a
9.	d
10.	d